

8. CONTRACTS AND OTHER SOURCES OF OBLIGATIONS

INTRODUCTION TO THE LEGAL SYSTEM – MODULE I

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Un. 8

Sirena, *Introduction to Private Law*, 3rd edition

1. CONTRACT - DEFINITION
2. CONTRACT – CIVIL LAW AND COMMON LAW
3. BINDING FORCE OF CONTRACTS
4. CONTRACT AND OBLIGATIONS
5. SOURCE OF OBLIGATIONS



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WHAT IS A CONTRACT?

Contracts allow **consumers** to purchase goods and services

Contracts allow **businesses** to organize themselves and to trade goods and provide services both with other businesses and with consumers



WHAT IS A CONTRACT?

Contracts may be concluded:

through documents drawn up by the parties, by a public notary, by a solicitor, etc.



orally or even by
conduct

DEFINITION OF CONTRACT

ROMAN LAW

Contractus: Cum-trahere meant “to bind” the parties



CIVIL LAW JURISDICTIONS

Contract = an agreement

- Donations are contracts

DEFINITION OF CONTRACT

COMMON LAW JURISDICTIONS



Contract = a bargain, i.e. an exchange

- **Gratuitous promises are not contracts (unless made by deed)**
- **Gratuitous bailments are not contracts**
 - **A bailment describes the transfer of possession of a chattel from a person (bailor) to another person (bailee)**

Common law recognises a promise to be enforceable if it is contained in a deed under seal. A seal may be affixed to a contract by placing a red sticker on the paper or simply by drawing a circle with «LS» (*loco sigilli*) stamped on it. The deed then takes effect upon delivery

DEFINITION OF CONTRACT (AND CONSIDERATION)

CONSIDERATION in COMMON LAW JURISDICTIONS



«An act of forbearance of the one party, or the promise thereof, is the price for which the promise of the other is bought, and the promise thus given for value is enforceable» (Pollock on Contracts)

- Consideration as the mechanism that the common law uses to distinguish enforceable promises from non-enforceable ones

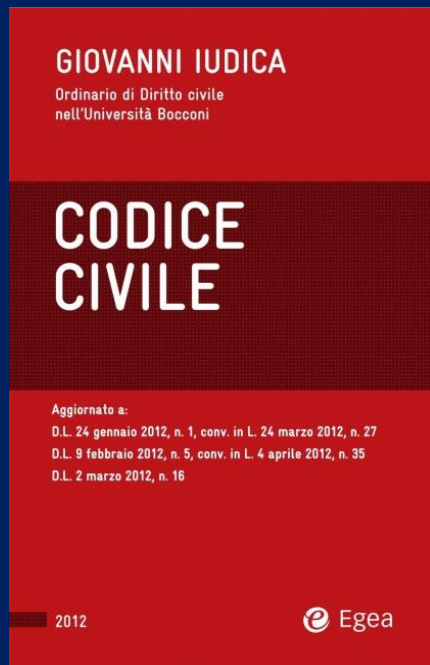
DEFINITION OF CONTRACT



II-1:101 Meaning of “contract” and “juridical act”

(1) Contract is an agreement which is intended to **give rise to a binding legal relationship** or to some **other legal effect**. It is a bilateral or multilateral **juridical act**

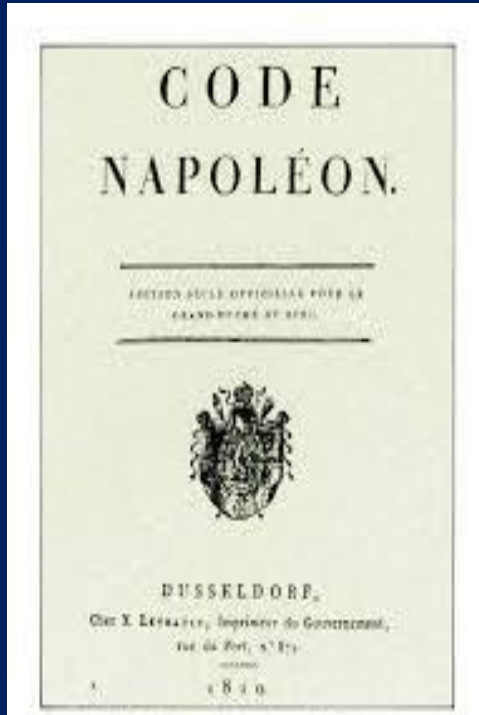
DEFINITION OF CONTRACT



Art. 1321 of the Italian Civil Code

A contract is an agreement between two or more parties to establish, regulate, or extinguish their patrimonial legal relationship

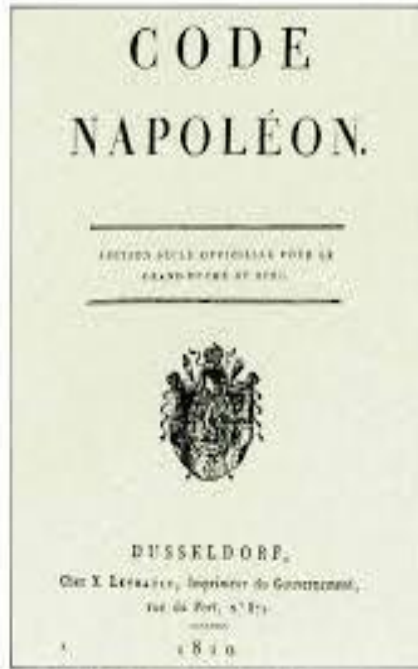
DEFINITION OF CONTRACT



Art. 1101 of the French Civil Code (as amended in 2016)

A contract is a concordance of wills of two or more persons intended to create, modify, transfer or extinguish obligations

BINDING FORCE OF CONTRACTS



Art. 1103 of the French Civil Code (as amended in 2016)

Contracts which are lawfully formed
have the force of legislation for those
who have made them

CONTRACTS AND OBLIGATIONS

Contracts are essentially a source of obligations

e.g. contract of sale (the contract having as its object the transfer of the ownership of a thing or the transfer of other rights against the payment of a price)



Obligations of the seller

- To deliver the thing to the buyer
- To warrant the buyer against eviction and defects in the thing sold



Obligation of the buyer

- To pay the price within the time and in the place provided for by the contract

SOURCES OF OBLIGATIONS

Contract (*Vertrag, contrat, contratto*)

Tort (*unerlaubte Handlung, responsabilité extracontractuelle, fatto illecito*)

Other (minor) sources of obligations

